

SABLE HARBOR ADVISORY — MATTER GOVERNANCE AND ECONOMICS

Document ID: SH-ADV-002

Version: 1.0.0

Effective: September 8, 2026

State: LOCKED DIRECTION; pricing bands and mechanics marked MODEL_PROPOSED where applicable

Owner: President, Sable Harbor Advisory — individual OPEN

Related: SH-ADV-001; SH-ADV-ATL-DR-001; enterprise authority and controls doctrine

1. Purpose

This standard turns the statement **outcomes, not hours** into a contractable operating model. It defines how Sable Harbor accepts a matter, assigns accountability, measures value, prices work, verifies outcomes and closes the engagement without allowing commercial incentives to corrupt professional judgment.

2. Matter acceptance

A matter may not begin substantive delivery until an Acceptance Principal records a matter-acceptance disposition.

Required acceptance record

At minimum:

Domain	Required determination
Client	identity, counterparty, beneficial relationship and decision owner understood
Problem	consequential question and requested outcome are stated without prescribing the answer
Authority	Sable Harbor's authority and explicit non-authorities are documented
Competence	required professional and technical capability exists or can be assembled honestly
Conflict	client, competitor, financial, personal, assurance and product conflicts evaluated
Data	expected sources, data rights, access, residency and security posture understood
Economics	committed fee, variable fee, Atlas licensing and external costs distinguishable
Measurement	baseline, target, attribution, period and certification method workable
Transfer	what must remain with the client at closure understood
Exit	termination, stop-work and material-change conditions understood

A matter that cannot pass these tests may be declined, redesigned or held pending additional facts.

3. Matter Principal

One Matter Principal owns the professional promise.

The Matter Principal is accountable for:

- maintaining the problem definition;
- staffing around the problem rather than around utilization;
- making professional judgments or assigning accountable owners;
- protecting evidence and uncertainty;
- escalating changes to scope, authority or risk;
- ensuring the client is not sold a preferred answer;
- maintaining the transfer standard;
- ensuring the matter closes cleanly.

Origination credit and Matter Principal authority are separate.

4. Independent reviewer

A consequential matter receives an Independent Reviewer based on risk, novelty, outcome economics, regulatory exposure, public consequence or professional judgment.

The reviewer may challenge:

- source sufficiency;
- reasoning;
- assumptions;
- alternative explanations;
- agent behavior;
- safety and operating implications;
- commercial claims;
- outcome attribution;
- client transfer readiness.

The reviewer does not become a co-Matter Principal and does not dilute the originating professional's accountability.

5. Value Office

The Advisory Value Office is a small independent capability that exists because outcome pricing is not credible if the team earning the fee grades its own result.

Value Office responsibilities

Before work:

- approve the matter-value definition;
- approve baseline data and normalization;
- approve target metrics;
- approve attribution rules;
- approve exclusions, externalities and client dependencies;
- approve measurement period and sources;
- approve the payout curve for the variable tranche.

During work:

- preserve baseline immutability;
- disposition justified restatements;

- monitor data quality and measurement continuity;
- prevent scope changes from silently rewriting the economics.

At closure:

- certify the measured outcome;
- issue the variable-fee calculation;
- record unresolved measurement limitations;
- preserve a reproducible outcome file in Atlas Meridian.

The Value Office does not decide whether the professional recommendation was aesthetically good. It certifies the agreed measurement system.

6. Pricing architecture

6.1 Core rule

Advisory's external price is not calculated as hours × rates.

Internal time, cost, compute and staffing records may be used for economics, capacity and accounting. They do not define the client value proposition.

6.2 Matter classes

Advisory uses four commercial matter classes:

1. **Measurable Value Matter** — economic value can be responsibly baselined and measured.
2. **Capability Matter** — success is a testable capability state rather than a direct dollar result.
3. **Decision Matter** — client requires decision-grade judgment; value is consequential but outcome may not be attributable to Sable Harbor.
4. **Managed Continuity Matter** — Sable Harbor accepts a continuing operating/service obligation rather than a bounded transfer-and-exit engagement.

The classification is contractual, not a marketing label.

7. Measurable Value Matter

7.1 Target fee

The working quote begins with **addressable matter value**, not total enterprise value and not a hypothetical maximum benefit.

MODEL_PROPOSED quoting bands:

Verified addressable value	Target fee	Notes
< \$5M	10–15%	bounded, high-intensity matters; minimum fee applies
\$5M–\$25M	7–12%	typical operational or transformation value case
\$25M–\$100M	4–8%	enterprise-scale consequential matter
\$100M–\$500M	2–4%	major program, network or capital matter
> \$500M	0.5–2.0%	highly negotiated; attribution and contractual caps dominate

These are quoting disciplines, not a promise that every matter is economically sensible inside the band.

7.2 Default committed / outcome split

MODEL_PROPOSED default:

- **60% committed fee** — due for accepting, staffing and performing the matter;
- **40% outcome-variable fee** — earned against the certified outcome curve.

The split may change where the client controls too much of the outcome, measurement is delayed, regulatory constraints make contingent economics inappropriate, or the matter is unusually capital-intensive.

7.3 Payout curve

A variable tranche should not be all-or-nothing unless the outcome truly is binary.

Working default:

Certified achievement vs target	Variable tranche payout
<50%	0%
50%	25%
75%	60%
100%	100%
125%+	up to 150%, subject to contractual cap

Interpolation may be linear or metric-specific. The contract controls.

7.4 Example

A matter has \$40M of independently supportable addressable value. The parties agree a 10% target fee: \$4M.

- committed fee: \$2.4M;
- target variable fee: \$1.6M;
- if certified outcome lands at 75% of target under the agreed curve, variable payout is \$960k;
- total fee: \$3.36M plus separately contracted Atlas licensing and approved pass-through costs.

This is a pricing example, not a canonical 10% rule.

8. Capability Matter

Capability matters use fixed economics plus objectively testable acceptance gates.

Examples:

- stand up an intelligence function;
- establish a governed investigation workflow;
- achieve a validated operating process capability;
- deploy a client-owned Atlas agent constellation;
- reduce a defined decision cycle from baseline to target;
- establish a functioning reclamation capability;
- transfer and qualify an operating workflow.

Typical structure:

- 70–85% committed/fixed fee;
- 15–30% acceptance-variable fee;
- milestone acceptance by observable tests rather than subjective client happiness.

A capability is not accepted because a workshop occurred or a policy document exists.

9. Decision Matter

Where Sable Harbor is retained primarily for judgment and the client owns the downstream outcome, the contract uses a fixed matter price.

Examples include:

- whether to acquire or sell an asset;
- whether a major anomaly warrants intervention;
- whether a capital program should proceed;
- what the evidence supports in a high-consequence investigation.

The client pays for professional independence, evidence quality and decision usefulness—not for a preferred recommendation.

Outcome-contingent economics should generally be avoided where they would create a direct incentive for Sable Harbor to recommend the transaction or conclusion that generates its fee.

10. Managed Continuity Matter

A managed continuity relationship is explicit. It may include ongoing monitoring, operation of a client-specific Atlas capability, periodic investigation, or retained professional response.

It must define:

- what Sable Harbor operates;
- what the client operates;
- service-level or response commitments;
- decision rights;
- stop authority;
- incident handling;
- data rights;
- transfer/exit plan;
- annual or multi-year institutional economics.

It may not be disguised dependency after an engagement that promised transfer.

11. Minimum economics

MODEL_PROPOSED initial minimum professional matter price: **\$150,000**, excluding Atlas licensing and pass-through external costs.

Below-minimum work requires an explicit strategic exception stating why Sable Harbor is accepting it. Valid reasons may include design-partner value, research, public interest, relationship entry, training, or unusually low delivery burden.

The exception may not be used to back-door an hourly body-shop model.

12. Atlas Meridian licensing

Atlas licensing is separate from Advisory fees.

The product should be priced as an institutional capability based on deployment scope, governed data/domain footprint, capability tier, reliability/support commitments and value—not as consulting hours or raw token consumption.

Exact Atlas license tiers and prices remain OPEN under the Atlas product-pricing workstream.

13. Commercial change control

A matter must be re-accepted when a change materially affects:

- client identity or control;
- decision owner;
- scope;
- authority;
- regulated activity;
- conflict posture;
- data classification or location;
- value at stake;
- outcome metric;
- baseline;
- transfer obligation;
- safety or operating consequence;
- Sable Harbor's required competence.

Scope growth is not automatically good business. Some scope changes should terminate the original matter and create a new one.

14. Conflicts created by outcome economics

Outcome economics creates professional risk and must be visible.

Sable Harbor must not use a contingent structure where the fee would create an unacceptable incentive to:

- recommend an acquisition or transaction;
- suppress adverse evidence;
- define the baseline opportunistically;
- move costs outside the measurement perimeter;
- shift harm to unmeasured stakeholders;
- trade long-term asset health for short-term metric gain;
- redefine the target after learning the result;
- claim causation where only correlation is supportable.

The Acceptance Principal, Independent Reviewer and Value Office each have separate duties against these failure modes.

15. Matter closeout

A matter cannot be marked complete until:

- deliverables and interventions are dispositioned;
- material evidence and assumptions are retained;
- outcome/capability acceptance is recorded;
- client-owned Atlas derivatives are transferred where promised;
- operating ownership is named;
- unresolved limitations are stated;

- ongoing obligations are explicit;
- confidential and restricted data disposition is recorded;
- economic calculation is reproducible;
- the client can identify what it owns, what it licenses, and what remains Sable Harbor IP.

Controlled publication • Generated from docs/advisory/MATTER_GOVERNANCE_AND_ECONOMICS.md • Do not alter PDF manually